Consumer Financial Complaints Analysis

Business Report

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Program: Microsoft Elevate Internship – Power BI
Tools Used: PostgreSQL, Power BI
Dataset Source: Consumer Financial Protection Bureau (CFPB)

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1. Introduction

Financial institutions handle millions of consumer interactions every year. However, unresolved financial issues can lead to customer dissatisfaction and regulatory risks. To monitor these concerns, the Consumer Financial Protection Bureau (CFPB) publishes a dataset containing consumer complaints related to financial products and services.

This project analyzes the **CFPB Consumer Financial Complaints dataset** to identify patterns in consumer complaints, evaluate company response effectiveness, and highlight areas where financial institutions may be failing to resolve customer concerns.

The analysis focuses on complaints received between **2020 and 2025**, using PostgreSQL for data preparation and Power BI for visualization and insights generation.

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2. Business Problem

As the number of consumer complaints continues to increase, it becomes difficult for regulators and decision-makers to quickly identify critical issues affecting consumers.

The key business challenge is to determine:

- Which financial products generate the most complaints
- Which companies receive the highest number of complaints
- Whether company responses effectively resolve consumer issues
- Which types of complaints frequently result in consumer disputes
- How complaint patterns have changed over time

A high number of disputes after company responses may indicate **ineffective complaint resolution processes**, poor service quality, or misleading product practices.

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3. Data Preparation and Methodology

The analysis followed a structured data analytics workflow involving **data preparation, cleaning, transformation, and visualization**.

Data Preparation

The CFPB complaint dataset was imported into **PostgreSQL** for processing. Key preparation steps included:

- Creating a structured database environment
- Importing the complaint dataset from CSV format
- Filtering data to include complaints from **2020 onwards**
- Removing records with critical missing values
- Standardizing product names to ensure consistent aggregation
- Extracting time-based features such as complaint year, month, and quarter

These steps ensured the dataset was suitable for accurate analysis.

Analytical Data Views

To support efficient reporting in Power BI, several summarized views were created in PostgreSQL:

- Complaints by financial product
- Complaints by company
- Complaints by year
- Complaints by issue type

These views reduced computational load and improved dashboard performance.

Visualization and Analysis

The cleaned dataset was connected to **Power BI**, where interactive dashboards were built to analyze:

- Complaint distribution by product and issue
- Company-level complaint volumes
- Complaint trends over time
- Dispute patterns following company responses

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4. Key Findings

4.1 Growth in Consumer Complaints

The analysis shows a steady increase in consumer complaints between **2020 and 2025**, indicating growing dissatisfaction with certain financial products and services.

This trend suggests that financial institutions may need to improve transparency, service quality, and complaint resolution mechanisms.

4.2 Financial Products Generating the Most Complaints

The analysis revealed that a small number of financial product categories account for the majority of complaints.

The most frequently reported products include:

- **Credit reporting**
- **Credit cards**
- **Debt collection**
- **Checking and savings accounts**

These product categories represent areas where consumers experience the highest level of dissatisfaction.

4.3 Most Common Consumer Issues

The most reported complaint issues involve problems related to credit reporting and financial account management.

Examples of common complaint types include:

- Incorrect information on credit reports
- Improper use of consumer credit reports
- Debt collection attempts on debts not owed
- Account management or billing errors

These issues indicate persistent challenges in credit reporting accuracy and debt collection practices.

4.4 Companies Receiving the Highest Complaint Volumes

Certain financial institutions receive significantly higher numbers of complaints than others. While large companies typically have more customers and therefore more complaints, high complaint volumes may also reflect operational or service-related issues.

Identifying companies with disproportionately high complaint volumes helps regulators focus their oversight efforts.

4.5 Effectiveness of Company Responses

One of the most important findings of this analysis relates to **how companies resolve complaints**.

The data shows that response types influence dispute outcomes:

- Complaints resolved with **monetary relief** have the **lowest dispute rates**
- Complaints closed with **explanations or non-monetary actions** tend to result in higher disputes

This suggests that financial compensation is often more effective in resolving consumer concerns than explanations alone.

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5. Insights on Disputed Complaints

The analysis shows that approximately **44% of complaints result in disputes**, meaning consumers remain dissatisfied with the company's response.

Products such as:

- Credit reporting
- Credit cards
- Debt collection

show relatively higher dispute rates, suggesting that complaints in these categories are more difficult to resolve satisfactorily.

These dispute patterns highlight areas where companies may need to improve complaint handling procedures.

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6. Recommendations

Based on the analysis, the following recommendations can help improve consumer complaint resolution processes.

Improve Complaint Resolution Strategies

Companies should prioritize **effective problem resolution rather than explanatory responses**, as explanations alone often fail to satisfy consumers.

Increase Transparency in Credit Reporting

Since many complaints relate to inaccurate credit information, financial institutions should strengthen **data verification and reporting processes**.

Enhance Debt Collection Practices

Improving compliance and transparency in debt collection processes may reduce complaints related to **incorrect debt claims or aggressive collection practices**.

Use Complaint Data for Continuous Monitoring

Regulators and financial institutions should regularly analyze complaint data to identify **emerging risks and systemic consumer issues**.

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7. Conclusion

This analysis of the CFPB Consumer Financial Complaints dataset provides valuable insights into consumer dissatisfaction across financial products and services.

The findings highlight key areas of concern, including credit reporting issues, debt collection practices, and ineffective complaint resolution methods.

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By improving transparency, strengthening complaint handling procedures, and focusing on effective resolutions such as monetary relief, financial institutions can significantly improve consumer satisfaction and reduce regulatory risks.

The dashboard created for this project enables stakeholders to **monitor complaint trends, identify high-risk products and companies, and evaluate complaint resolution effectiveness** in an interactive and data-driven manner.